

Latin America Startup Funding Fell Sequentially In Q1

Joanna Glasner April 9, 2025



Joanna Glasner
@jglasner

Latin America startup investment declined sequentially in the first quarter of this year, driven by a drop in later-stage dealmaking. Even so, funding was above the depressed levels seen a year ago, and early-stage dealmaking showed signs of strength.

Altogether, investors put just over \$800 million into seed through growth-stage deals across Central America and South America in Q1, per Crunchbase data. That's about 17% higher than year-ago levels, but down about 35% from the prior quarter, a robust period for late-stage dealmaking.

For perspective, we charted out total investment, color-coded by stage, for the past nine quarters below.

Latin America Venture Dollar Volume Through Q1 2025

	QoQ Change [%]	YoY Change [%]
Overall Dollar Volume	-36%	17%

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Round counts declined sequentially and year over year across stages. We expect the Q1 deal counts to rise somewhat over time, however, as seed rounds in particular are commonly reported weeks or months after they close.

Latin America Venture Deal Volume Through Q1 2025

● Angel-Seed ● Early Stage ● Late Stage ● Technology Growth

	QoQ Change [%]	YoY Change [%]
Overall Deal Volume	-21%	-56%

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Early stage and seed

Early stage was the strongest area for funding in Q1, attracting around \$435 million. Fintech stood out as the dominant theme for investment, with more than half of all early-stage funding going to companies tied to financial services, per Crunchbase data.

Much of the quarterly total came from a handful of larger rounds. Standouts included:

- [Plata](#), a Mexico City-based startup offering [MasterCard](#) credit cards, picked up \$160 million in a March Series A led by [Kora](#) at a [reported](#) \$1.5 billion valuation.
- [Buk](#), a Santiago-based HR software provider, secured \$50 million in a January Series B led by [Headline](#).
- [Paytrack](#), a Brazil-based developer of business travel and expense management tools, landed \$40 million in Series B funding in January led by [Riverwood Capital](#).
- [Mendel](#), a Mexico City-based provider of a corporate expense management platform, locked up \$35 million in a March Series B led by [Base10 Partners](#).

While early stage was up, seed investment declined in Q1, based on reported totals. We expect final numbers to come in somewhat higher, however, as seed financings often enter the dataset weeks or months after they close.

We did see some larger seed financings in the mix for Q1, including an \$8 million round for [Niko Energy](#), a Mexico City-based solar provider, and a \$6 million investment in [Neofin](#), a Brazilian B2B payment tech startup.

Late stage

The pace of late-stage dealmaking slowed down, after a [spike the prior quarter](#). Just \$281 million went to rounds at Series C and beyond in Q1. That's above year-ago levels, but roughly a third of the Q4 total.

Nonetheless, we did see a number of good-sized rounds close. Some of the larger funding recipients included:

- [Ualá](#), a Buenos Aires-based digital banking startup, closed on \$66 million in a Series E led by [TelevisaUnivision](#).
- [Alice](#), a São Paulo-based health plan provider for employers, raised a \$22 million extension round in February.

- [Turbi](#), a Brazilian digital car rental platform, secured \$12.5 million in a February Series D.

Overall, a muted quarter and a slow period for exits

It wasn't a particularly active quarter for startup exits, though there were some deals that got done.

On the M&A front, [Gringo](#), a Brazil-based app for handling vehicle care and expenses, sold to [Cambridge Global Payments](#) in a deal reportedly valued at \$172 million. Other M&A deals for funded startups included [xFarm Technologies](#)' purchase of [Check Plant](#), a Brazilian agricultural software provider, and [Cencosud](#)'s acquisition of [Vopero](#), a Mexico-based fashion resale marketplace.

As for IPOs, Q1 was a pretty quiet period, with no significant offerings from venture-backed Latin American companies.

Will we see a pickup in dealmaking and exits as the year progresses? Who knows. But at least, given Q1's toned-down dealmaking levels, there's plenty of room for growth from here.

Methodology

The data contained in this report comes directly from Crunchbase, and is based on reported data. Data reported is as of April 2, 2025.

Note that data lags are most pronounced at the earliest stages of venture activity, with seed funding amounts increasing significantly after the end of a quarter/year.

Please note that all funding values are given in U.S. dollars unless otherwise noted. Crunchbase converts foreign currencies to U.S. dollars at the prevailing spot rate from the date funding rounds, acquisitions, IPOs

and other financial events are reported. Even if those events were added to Crunchbase long after the event was announced, foreign currency transactions are converted at the historic spot price.

Glossary of funding terms

Seed and angel consists of seed, pre-seed and angel rounds. Crunchbase also includes venture rounds of unknown series, equity crowdfunding and convertible notes at \$3 million (USD or as-converted USD equivalent) or less.

Early-stage consists of Series A and Series B rounds, as well as other round types. Crunchbase includes venture rounds of unknown series, corporate venture and other rounds above \$3 million, and those less than or equal to \$15 million.

Late-stage consists of Series C, Series D, Series E and later-lettered venture rounds following the “Series [Letter]” naming convention. Also included are venture rounds of unknown series, corporate venture and other rounds above \$15 million. Corporate rounds are only included if a company has raised an equity funding at seed through a venture series funding round.

Technology growth is a private-equity round raised by a company that has previously raised a “venture” round. (So basically, any round from the previously defined stages.)

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